

2026 May 4 1031 Exchange Basics w Darrin

2026-07-29 21:42:57

00:00:05 Speaker 1

All right, well, we'll see who joins us. Of course, as we get going today's topic is ten thirty one exchange basics. And then there is a lot. Obviously I am glad Craig's here because he'll help fill in as well. There is a lot that goes into a ten thirty one exchange, But we want to go through the basics and understand that this is something that you may start. I mean, you are going to run into the market at some point. To this point in my career, my experience has been Oftentimes, where the property that's being sold, My buyer that's buying it to buy it as a you know, to live in, has to be disclosed as being part of a ten thirty one exchange. Utah has a specific form we use for that. I've got my first actual ten thirty one exchange coming up. We're in the beginning process. She's got a listing out of state that they're getting ready to go live with, And then she's already started looking for replacement properties here in Utah, because she's moved here from.

00:01:05 Speaker 1

Friend of mine who's moved all over the world and has finally settled back here where she grew up. And wants still wants to be in the, you know in that market and have rental properties. But the property is in Asheville, North Carolina, and it's not cash flowing and it's a major hassle for her. So as you work with with investors, You'll you'll run into this where they are. They've got a property that's run its lifespan. They've they've managed to get everything they can out of it. For whatever reasons they have, they want to relinquish the property and then move to another property or properties. And so there's some rules we have to follow. So I'm going to I'm going to switch over to here. Now these are just going they're going to be basics.

00:02:03 Speaker 1

Understand that if you are working in the with someone who's doing a ten thirty one exchange, then at the very beginning of the process you need to reach out to, the title company, Because as we go through this, there are going to be some requirements that title needs pretty quick. And, they need to be aware of. They also need to be working with their accountant. For tax reasons, but also there are some benefits to them financially depending on how what kind of. How long they've owned a property and how well they've maintained the records on their expenses on the property because it's going to affect how much money they're going to, How

much potential income they're going to have on the property that would be counted as capital gains if they don't make the exchange. So first got Zane with us. Zane, how familiar are you with 1031 exchange as a new licensee?

00:02:57 Speaker 2

I've heard the word multiple times so okay.

00:03:02 Speaker 1

How much time on your on your pre license class, did they spend on it?

00:03:05 Speaker 2

Not much that I remember.

00:03:07 Speaker 1

That's when you heard the word twice, right? Yeah. Okay. My experience has been I've taken a number of courses on it, Um but as I've worked with like Joel and Justin and a lot of our agents do investing, they deal they work with this. Um and I've had people come into the agency who watched a video on YouTube, and they want to try this. And we've had, unfortunately, we've had some people who got some pretty bad advice from YouTube. Imagine that. And, we had an individual come into what was McKay Realty before the merger and said, "Hey, I just sold this property in Texas. I want to 1031 exchange it to here. Can you help me with that?" And our agent looked at him and said, "So you've already sold the property in Texas? Correct."

00:03:58 Speaker 1

He says, "Yeah, I've already sold it. I've already got the check in hand. I can't 1031 exchange that." They've already violated one of the very fundamental principles.

00:04:08 Speaker 3

So they had closed without setting up the 1031 exchange?

00:04:10 Speaker 1

They had closed. They did not have a qualified intermediary. They had a check in hand that had been sent to them. So we're going to talk about why. I use that one as an example of what not to do because there are some specific steps that have to be met. Oh man, I called that one two minutes in Mark called me. Um, That have to be met with a ten thirty one exchange that they had violated pretty much all of them. Okay. Um, so vocabulary as we go through this, we're going to hear me talking about capital gains tax. Okay. Just real briefly, ten thirty one exchange gets its common name from section ten thirty one of the I R S code.

00:04:55 Speaker 1

That's the section that governs capital gains taxes. Capital gains, as you know, Are the gain on the difference between a purchase price of a property and what they sell, you sell it for. Whatever you earn on the process. And, there's formulas into

how much you can deduct from the value of the property and things that go on that way. The accountant is for. But there are two rates or two ways that capital gains are taxed : short term and long term. Short term is any property that's been held less than a year. Ordinary income rates apply, which means you're going to be paying a higher rate, and the federal rate depending on how much income you earn, what bracket you landed in, is anywhere from ten to thirty percent of the income earned. So when you talk when you look at people who flip homes.

00:05:48 Speaker 1

They have to build into that flip cost. They could be paying as much as thirty seven percent capital gains on that property. That's just baked into their, into their math. Long term is anything that's been held longer than a year, because it's been held longer than a year, it's now long term and they get different rates, and those rates depending how much you earn, it could be anywhere from zero to fifteen or twenty percent. And, again, the accountant is going to do all the math to figure that out. The idea behind a ten thirty one exchange.

00:06:18 Speaker 1

Is to defer paying that tax. So it is a no, they got it in the wrong order. It is a deferral process, and that's what people need to understand. It's not that they're not paying the tax ;. It will get paid at some time in the future. What they're doing now is just kicking that tax bill down the road. Because and the I R S set this up because they were losing investors. Investors would have a property, they've got everything they can out of it, They'd sell it and then get hit with such a hugeum tax bill that they didn't feel like they had enough money to go back into the market again. So it was to encourage investors to stay in the market. And.

00:07:11 Speaker 3

This is how when when like uh he has something, says he doesn't pay taxes. One of the big benefits is, Let's say, he's got some real estate properties. He wants to sell and buy something else. He just does a 1031 exchange, transfers the equity from one to the next. No taxation. It defers it. But here's what's crazy: defer, defer, defer. As soon as he dies, The basis resets to the new value. So the heirs get it at its at the now value. And they don't and they can sell it and pay no taxes.

00:07:45 Speaker 3

So that's how it grows. That's how a lot of these families will build this gigantic portfolio that passes on to the kids, and Uncle Sam never gets a bite of it ever. It just grows in value, grows in value, passes. They defer taxation to whatever other real estate properties they want. Like what Darren said, if they get out of the market of real estate, that's when Uncle Sam takes a bite. And you can and they'll recapture, By the recaptured depreciation, anything you've done so like for instance, I've been depreciating this building.

00:08:18 Speaker 3

If I sell this, I am going to have a chunk that I am going to pay it out to Sam.

00:08:24 Speaker 1

Or go buy another replacement property.

00:08:27 Speaker 3

Yeah, so once I am in it, I am just like well, I've got X amount in. You just have to keep it in real estate which is fine. i i want yeah This in real estate but Yep.

00:08:40 Speaker 1

And on the income tax side, and I learned this recently from my brother, the accountant and attorney, and the executor of my mother's estate. You've got to have an estate of eleven million dollars in liquid assets or more before estate taxes kick in. But, if you are talking like a multi generational property portfolio portfolio, you can blow past eleven million pretty quickly. If you are talking your average American family. Not likely to happen. So it can eventually get taxed. It depends on when the property tax or the property owners get out of the market and what they do with it when they get out of it. If, the heirs decide, they don't want it and they sell it before grandpa dies, they're going to get hit with a huge bill. If it's after grandpa dies under the heirs, then they go to the accountant and say, okay, we've inherited it. You set the basis, but it's kept them in the market.

00:09:38 Speaker 1

Is the goal. Okay? The IRS requires that you replace the property you had with a like property. They use the phrase like for like. Now, the IRS has never strictly defined what like for like means. You can sell a car wash and buy a McDonald's.

00:10:06 Speaker 1

You could sell an Airbnb and buy a storage unit.

00:10:14 Speaker 3

Yeah, or you buy land.

00:10:16 Speaker 1

You can buy land as long as it's on speculation for future construction. Yeah, but it has to be real property; it cannot be stuff. I can't sell my business or sell the building where I rented out. Four wheelers and go buy more four wheelers. Yeah, it has to be real property. That's why it says it has to be an investment property, and it cannot be for personal property.

00:10:46 Speaker 3

Yeah, and I'll clarify like the land might be a tricky one. You are right, I would put an asterisk, uh, be careful because if you are gonna might not work in some circumstances. If yep, but you can yeah. But like for instance, if I were to sell this building. If I wanted to go transfer it to nightly rentals or storage units or

something else, commercial residential investments, that's that's totally fine.

00:11:16 Speaker 1

What Craig can't do is sell this and go buy his own personal vacation property at Bear Lake. Now it can go buy a cabin at Bear Lake as long as he limits. How often he uses it personally, then he can still qualify as an investment property.

00:11:40 Speaker 3

And a CPA, But I always tell people this because I'll have a CPA like consult your CPA to try to figure that out. Because I had a seller sell two investment condos at BYU and then bought a nightly rental cabin at Sundance. So we ten thirty one the two condo sales up to that. Yep. But the issue, like, cause my buyer uses it. And he uses it too much. You can potentially have the IRS come back and be upset at it. So anyway, it's a balance that you got to be careful.

00:12:16 Speaker 1

It's a technicality that they want to talk with their accountant about. And, that's why I say you need to check with the accountant about if you're going to do it this way, use it this way, Then what percentage of time can you use it before? It's not considered personal property? And not investment. Now, as we talk, The other thing you need to say understand when we talk about property or properties is you can sell two or three properties and buy one. You can sell one and buy two or three. There are just some qualifications they have to meet. The purchase price of the replacement property or properties has to equal or exceed.

00:12:58 Speaker 1

The net sales price of what you sold. So, if you sold five hundred thousand dollars, And that net price is, by the way, closing costs is cut that contract price subtract, closing costs commissions. So, You sell it for five hundred thousand ;. By the time you pay off closing costs and commissions, you are at four eighty five. What you buy has to be at four eighty five or more. Does that make sense? Yeah. What happens if it's less than four eighty five?

00:13:30 Speaker 3

You get taxed on that small part that's not. That's sort of left over in your proceeds.

00:13:36 Speaker 1

You get taxed on whatever that leftover is. I think they call it boot. It's called boot. It's actually the legal term for it is booty, and it goes clear back to the old English for what booty meant, not what rappers turned it into, or the legal term is boot so, That's the other thing. One of the other things that can count as boot is the mortgage value. So, if you sold it for five hundred thousand and had a two hundred and fifty thousand dollar mortgage, Whatever you buy has to have a two hundred and fifty thousand dollar mortgage on it. Because, if the mortgage gets paid off and

you buy the next one free and clear, that mortgage qualify you paid off counts as earned income. So that's where you get the accountant in there crunching the numbers.

00:14:22 Speaker 1

And say, well, if you are selling this one for five hundred, let's go look at something at five o'five. You know, give yourself a wiggle room so that as you work through the process, You don't end up at the end of it all going. Oh, I do have to pay taxes anyway because of this mortgage rule, or you know boot. There are some specific deadlines that have to be met, and these are set by statute. So they're not flexible. The IRS doesn't bend at all. First is the forty five day rule. Once the property that's being relinquished or sold or is closed, they have forty five days to identify at least three replacement properties. Now, What a lot of sellers are going to do is while they've got theirs listed, they're already looking for their replacement properties. They don't want to get to this and say okay.

00:15:20 Speaker 1

Now we got to go find something and everything's gone. It has to be identified in writing and title has to see it. Utah has a specific form for identifying the potential replacement properties. Now, these are potential replacement properties. Things happen in the market. One of them could get sold, you may have to identify another one. You start looking into one, not the right one, not going to work. All right?

00:15:50 Speaker 1

But identify in writing the title so they know what's going on. The other reason, and that's part of why they want you to identify at least three, is because you know you don't want to drop one out. The other thing is just going to have to do the math. If they go pick three properties, Those three properties combined can't add up to more than 200 % of what they sold. So again, you sell for 500, if you go find three properties, You got to make sure that whatever it adds up to doesn't add up to more than twice the 200. Of what they sold, okay. That's a again, that's a that's a federal rule we we don't get around that one. It's not our choice. Oop, the other one oh that's why things are all out of whack.

00:16:38 Speaker 3

I'll tell you one reason it's great dealing with the ten thirty one, though, because of this identification rule once they identify in that time frame passes. They've got to buy one of those they identified. Yeah, they have no other choices. And. So when when you are working with a when you are representing a seller and you know the buyer's on a ten thirty one, and they said, "Yeah, we identified your your property is one of the properties." If you know that they're forty five days past, You are sitting in the negotiating seat with power because they don't have any other choices, but whatever else they identified. Typically if they offer on yours.

00:17:15 Speaker 3

The close rate on 1031s is astronomically high. The buyers don't back out. Very rarely do they back out because they don't have any other choice. So it's great working, if you're a seller, it's great working with a 1031 buyer. Similarly, if you're working with the buyer, the buyer is massively motivated to buy something because if they don't buy something, they're going to get taxed. So every time I've got a 1031 involved, I'm like this is money in the bank. It's so good. Like, they they close like Joel had a really picky buyer this last year and got into a ten thirty one. All of a sudden, it's like you are backed into a corner. And even though he's picky, he ended up having to move forward with one of the ones he identified. So, which ended up being the reason why Joel's beating me in the standings right now in the rankings is because it was a five million dollar purchase that closed in January.

00:18:14 Speaker 3

Wow, and so bump bounced him five. You know, that's a six digit check by the way. Yeah, andum so it's pretty cool. A lot of money man. Pretty cool experience you know.

00:18:25 Speaker 1

But yeah, ten thirty one. They know. And if they're experienced with ten thirty one, they know these deadlines. Yeah. So that's why like a lot of them are experienced in it as you work with investors. If they've got one that they've listed, they know it's going to take some time to sell. They're already going to be in the market looking for something to replace it. They'd rather not end up with staring down this deadline afterward and realizing now I'm going to I may end up committing to a property that doesn't really meet what I want long term. The other rule is, And these two deadlines start on the date that the property they sold or the IRS calls it relinquished, the date they close on that. And these are calendar days, not business days.

00:19:12 Speaker 1

They have one hundred and eighty calendar days to close on the purchase that finishes out the exchange. What they exchange for so they know, and that's not flexible. If they if they go day one hundred and eighty one, they go into sign. They're past the deadline, The IRS is going to look at it and say this exchange is null and void. You are now going to be you know facing all of tax implications, and, You probably don't qualify now to buy this property. So, like Craig said, there's a really high close rate with these investors, especially the ones that are experienced because they're doing this to avoid getting taxes. So they're paying attention to these deadlines. Now, how does this affect you? Like Craig said, if you have a listing and the offer comes in and it has.

00:20:10 Speaker 1

The ten thirty one exchange addendum attached to it, You know that this buyer is going to be fairly motivated to get this done because they've identified it as a

replacement for another property. And they're on these deadline dates. They've got to get these things done. So, you know, pay attention to the contract deadlines on it as well. If they've identified it early enough, They may ask for, they may be looking a little more time for due diligence because they've got to make sure those things are going to cash flow in the way they want to. And in the inspection, they're going to want to make sure they can move right, They can take over and start using it now without having to put more money into it. But, there's still also on that deadline of we also have to have this done by this. You know, big red X on the calendar.

00:20:59 Speaker 3

I was going say one one other strategy on this is, And I don't know if this is in your presentation, so if you have a head, just say" go for it." Reverse ten thirty one is that on there? No, I didn't do that one. Okay,

00:21:09 Speaker 1

So let me because it's more it's more technical.

00:21:11 Speaker 3

Yeah, One way to get around this a little bit is called the reverse ten thirty one, where you can go, buy the property first and then sell the replacement property or buy the replacement property and then sell the current one. Get ahead of yourself basically. Yeah now, Still, order to do that, you have to have funds. Yeah, And sitting where a buyer has the capability of just fronting and buying the other one first and then selling the existing one. Yeah. So the nice thing about that is you can then be very picky. Okay, this is specific, it's a specific one I want. But then you're up against the wall at that point because uh and I don't remember the exact timeline. A timeline then gets as soon as you buy that replacement property, a timeline starts ticking It's probably six months Your.

00:21:56 Speaker 1

180 day timeline starts Yeah,

00:21:58 Speaker 3

So it starts kicking. So, you have to sell the existing one, and if you don't, you are screwed. And, you are going to be subject to the taxations;. You'll be subject to not being able to defer that equity from that one that you can't sell. So, So you have to be really aggressive on the list price if it's not selling in order to make sure that existing one sells. So either way, t here is these deadlines and motivation that comes in.

00:22:25 Speaker 1

And the advantage of. And another advantage in terms of reverse ten thirty one exchange is if, If you are sitting on a million dollars cash that you want to invest now, and you've got a million dollar property, you go buy that million dollar replacement property. Well, And you know your your million dollar listing ends up

only selling for nine hundred thousand. Well, you've already met the qualification that your replacement has to meet or exceed.

00:22:56 Speaker 1

What you sold that million dollar property for. Now, If you put a million dollars into the one you bought and your million dollar property, you're selling gets into a bidding war and sells for one and a half million, You've got to hurry and take that other five hundred thousand and put it somewhere quick, or you get taxed on it. So that's why they can't, that's why you always work with an accountant, know, And they want to work with an accountant that has that knows what they're doing with ten thirty one. Okay.

00:23:23 Speaker 2

And with that like that example just had, Yeah, million dollars and the one and a half. You use that one towards the one million and then the five hundred thousand. You you got to go use it. The same deadline as the million dollar. So like as soon as you buy this, that's then does it have the same deadline or another house?

00:23:45 Speaker 1

That's where they're going to want to have their accountant look into that because he's going to they're going to go look at the tax codes and say, okay, here is what what tax code says. Because, you may find yourself that it's because if it's one hundred and eighty days from closing the first one, and now you are four months into it, you could be cramming really quick to get that difference made up. So, they're going to plan ahead. Most ten thirty one exchange people who are just getting started or it's their first or second time doing it. Don't have the cash on hand to do a reverse one ;. They're just trying to sell this.

00:24:22 Speaker 1

And buy that. And one of the biggest reasons for selling this, the one they've got, is they've already got all the tax advantages out of it. They've done a cost segregation, they depreciated everything. You know, Craig, you know, they've got what they can out of it. They're into it maybe seven years; depreciation's up. Let's go move something else newer or different. Now title on it is also done differently as well. And that's because title has additional work they have to do. They're going to be creating all of the regular closing documents, plus all the documents for the IRS, which is typical of title. But they also then serve as the intermediary. It's called a qualified intermediary, it's a technical term. When the first when the sale closes.

00:25:19 Speaker 1

The money goes to title and stays in escrow. The property owner, if they're an individual, an LLC, however they own it, doesn't get to see the check. Title holds it. Then when the purchase or purchases go through, title distributes the money to where it belongs to. So that in the eyes of the IRS, Zane property owner Never touched and had any control over the money. So, Going back to the guy we were

talking about from Texas, who called and said, "Hey, I sold this property in Texas, moved to Utah. Want to buy a rental? Can I ten thirty one exchange it?" As soon as the title company handed him that check in Texas, he had control over it. What happened to it next? Even if he put it in a trust account, planned on using it this way.

00:26:16 Speaker 1

He had choice over where I went with the trust account. Anything like that. So, The qualified intermediary is the one who holds it, and then does makes the payments. You're also going to be verifying with the accountant to make sure that all the numbers add up. So, if you sell one property and you're buying two, you may end up with two different mortgages. Great, they're going to be closing twice. How much is going toward each one? They got to sort that out. If you're buying two or three, or selling two or three and buying one, all right now we've got to make sure all those multiple closings occur right. All the money goes in the right pot and goes out the right direction. So, you want a qualified intermediary that has experience with it, that makes sure then that all of those numbers and everything go the right direction for you. Okay I'm going to close that.

00:27:16 Speaker 1

Let's see if anybody else joined this. Nope, just the three of us. So what questions do you have about 1031 exchange?

00:27:27 Speaker 2

Nothing comes to that. We had the uh the one where you know bidding more, and then you have the excess and you have to get rid of that. And thenum the reverse.

00:27:44 Speaker 1

That, that's. So, there's risks with each one. With a regular forward 1031 exchange, the risk is being able to come up with adequate replacement properties. The risk with the reverse, one is selling it in time and not ending up with leftover money if it ends up selling for more than had been anticipated.

00:28:09 Speaker 3

In which case, you would just pay tax on that little leftover.

00:28:13 Speaker 1

They may be willing. They may look at it and say," You know what? It's just worth it to pay on what that small amount is."

00:28:19 Speaker 3

So every time I'll tell you this, like every time I have an investor sell something, I always have the ten thirty one conversation. Every single time. And a lot of rookie agents won't even think about this. The seller will say," Hey, I want to sell my investment townhome." I always say," What are you going to do with the money?" Like," Oh, I just want to pocket it for this or the other." Okay, I always say, okay,

Have you talked to your CPA to see what kind of your taxation will be like? You might not have any taxation because if they don't make a profit off it, there's not going to be a taxation. You know. But if they do profit, there's going to be tax. And so I always say okay, have you talked to CPA? And if I ever give 1031 advice, I always say I'm not qualified to give you 1031 advice. So, you do need to talk to a 1031 qualified 1031 intermediary and or CPA.

00:29:08 Speaker 3

Because none of us should be giving ten thirty one advice. I have no problem with people sort of coaching a little bit on deadlines, but if the seller, If your client relies upon your advice and you give them bad advice for something, for which we're not licensed, we're going to get in trouble. So I always say, please talk to your CPA and and the ten thirty one people. They can figure out those details for you. I am just giving you like high level like because a lot of my ask, what are my deadlines? What are my you know what are the rules? And I'll just give them some high level stuff and then I say Here's a ten thirty one exchange guy to talk to, and then call your CPA every single time. So that that's something that just you should check the box every time someone's saying I want to sell an investment property. Now, if they're wanting to say I want to sell, and then I am going to buy another one, great let's do a ten thirty one exchange. And, you may not have to do a ten thirty one exchange if they're selling it at a loss, then you don't have worry about it. Ten thirty one exchanges are actually not very expensive.

00:30:08 Speaker 3

They only had like thousand to two thousand bucks on title.

00:30:11 Speaker 1

Yeah, There is a little bit of additional closing costs because what title has to do, but not enough to make it onerous.

00:30:17 Speaker 3

I am surprised how inexpensive it is, And I can see those costs going up at some point because they've been like ten thousand bucks. It's nothing or when you are exchanging an investment property this large. So,

00:30:28 Speaker 1

A lot of the people who get kind of get burned on this without realizing what's going on is like there is a somewhat robust market in Utah County, where. Mom and dad have a kid going to BYU. Get a look at how much rent is, and you know we've got a condo listed in Utah County at two ten. Well, by the time you buy that, rent out one bedroom, You are paying as much as you were for paying for rent for the kid at BYU. Well, great kid graduates then what? Do you keep it as a rental or do you sell it? Because if it takes four years to graduate, you are going to have some equity in it.

00:31:06 Speaker 1

Is it enough to take a hit? Call your CPA. Do you want to stay in the rental market closer to home? All right, well, let's see what this one's worth. Is it worth enough selling here to get into a market closer to home?

00:31:24 Speaker 3

Here is another couple of things, too. Where t here is some mistakes that have been made, like that's where you need to have a ten thirty point guy involved. The name that you sell in and the name that you buy in. Typically, have to match. And so, let's say, well, I sold it in the name of my LLC and I am going to go buy in the name of Craig. Well, that could produce an issue. But here is where you might like here is where you get doubly in trouble on this, because if you go to buy a, let's say, a two to four unit property, and you are going to buy it as an investment, you can't get financed in your LLC.

00:32:00 Speaker 3

There's not Fannie Mae and Freddie Mac require you to finance in your own personal name. Well, If you are selling something in an LLC and then buying something in your personal name because the lender required it, You can see how you might get into these technical issues where you might unintentionally expose yourself to taxation. So I, whenever a ten thirty one is involved, I try to get the ten thirty one exchange intermediary guy involved right away and say, okay, title is being held like this. And They're going to purchase. What does the title have to look like over on this other side? And if they're saying, "Well, they're selling it in the name of of Argonaut State Experts LLC," there you got to buy under Argonaut State Experts LLC. You know, and he may he may not say that. He may say, "I don't know you can buy. " Like, those are the nuances I don't want to get hammered on when when we're involved in something else. And so everybody is a big for them.

00:32:57 Speaker 3

It's Han Solo saying, "I know." So, on my way out the door this morning, my wife gave me a hug and a kiss, said "I love you," and I said, "I know."

00:33:05 Speaker 1

The greatest ad lib line ever.

00:33:06 Speaker 3

And then I walked out. Now Leia returns favor in episode six. If you guys remember when they're trying to break into that whole thing, and she has the gun and gets found in trouble.

00:33:19 Speaker 1

And, there are some technical things, even if you are an LLC or an S corp. Because if the LLC has multiple members. Every member has to purchase the new property in the same percentage of ownership as they had in the original LLC. So, that's why

you want an accountant that knows what they're doing, helping them understand. So, you know, Say Zane is one third owner in the LLC and wants out and wants Craig and Darren to buy him out. Zane could end up facing a tax liability because he got bought out. Craig and Darren different liability because we're buying you out.

00:33:55 Speaker 3

The same similar thing applies to estate situations. Not the same thing, but some of the similar principles. So, and I know this is a tangent, but still pretty on topic. Last year, maybe it was two years ago, one of my friends called me and said, "Hey, my parents passed away. I am a trustee. We need to sell home." And so I am like okay great let's go. I went to the home to go tour through it and in the process, I found out that the attorney, their attorney, the seller's attorney had said, "Hey, Before mom dies because she's sort of incapacitated in the hospital or it's going to be hard to sell this. Like she was still alive and like she's going to die at some point. Why, don't you just transfer title from the mom to the daughter and then daughter, you can just sell it."

00:34:54 Speaker 3

And not don't have to worry about getting signatures from mom. Well, The problem is, you transfer title to the mom's owned it for three or four decades. You transfer title to the daughter, and that creates a taxable event. And. So because we're now going to sell this in the name of the daughter, There's no estate benefit for where like where the parents pass away and the kids receive it. And and it increases what they call basis or the value of property that government says. And so I said, "Your CPA, your.

00:35:27 Speaker 1

Attorney suggested.

00:35:28 Speaker 3

You do this?" Like, "Yeah." And so we're about to put it on the market. I said, "We need to hop on the phone right now with the CPA." So got on the phone with CPA and CPA said, that's the stupidest thing that an attorney could have ever told you when it comes to this. Put the name back into the name of the trust or whatever it was. Put it back into this other situation before you sell. And and he said, "I'll be able to explain to the government sort of that, that was an unintentional mistake, so that when it sells, it'll be fine." So they followed the advice, closed; they're fine. But, but had they proceeded down the path, the attorney had given them versus what I had, you know, and I had caught it. I saved them tens of thousands, maybe a hundred thousand plus in taxation from what had happened, because if I give to you a property for six hundred grand.

00:36:22 Speaker 3

When you sell it, You are going to get tax on that thing at twenty five percent thirty whatever it is. You are going to get whatever your tax like. You are going to have

one hundred fifty grand in tax. So so that's what the I R S was viewing. Oh the mom just gave the home to the kid. It's a gift, And now the kid's going to sell for whatever and be exposed to full taxation. It was dumb. The attorney didn't even know what he was doing when he when he recommended this plan. Yeah, it would have simplified some of those.

00:36:51 Speaker 1

Simplify the process, but not the money.

00:36:53 Speaker 3

Didn't understand the taxation consequences. It's like going to a doctor who specializes in your eye and will give you something that will fix your eye, Not realizing that the fix they give, you could hurt something else in your body. You know what I mean? Maybe that's not a great example, but there are times where a doctor will come in and say, "Well, this will help fix your gut." Well, You administer that. And then now it's hurting your blood or something like vice versa. Like they have to have a. You know, some attorneys and CPAs don't have a full picture. Yeah, and so we hopefully will. Hopefully, we're like okay, We sort of understand enough the systems involved here that if we see something wrong, You know how to advise you kind of catch it before it gets out of hand or yeah. And that's why.

00:37:36 Speaker 1

And, and we're here to help them identify the property or properties that they're getting in replacement make sense for them. Are they going to? Are they going to. Meet their needs in a cash flow. Are they going to be something reasonable? And that's part of why like for like has never really been defined. They didn't want to get people so locked into, oh, well you sold a single family home you were renting in West Valley, you got to go buy another single family home in West Valley. Well, Part of the reason I'm getting out of single family homes was valley is it's probably not renting enough anymore or they're not making money on it. They'd rather have a condo in Provo or something else or two condos in Provo.

00:38:15 Speaker 1

Where they could cash flow better, so it's not really rigid. With what Craig was talking about, one other thing that I've learned through experience, I am going to go ahead and close this. So we're going to close out on ten thirty one exchange. So we're getting kind of on a couple other things, but one other thing real quick: if you are dealing with an estate, you need to pay attention to the death date of the last owner. If it's in a trust, it works differently than if it was just. An individual owner. When my father passed and we bought my mother's home from her, We had to close on the purchase of the home from my mother within one calendar year, Three hundred sixty five days of the day that my father passed for my mother to still be able to claim his two hundred fifty thousand dollar exemption as joint tenant. If we had so she could claim both hers, her exemption and his exemption for the total five hundred thousand.

00:39:14 Speaker 1

If we waited till after that year mark, we can only claim my mother's exemption for two hundred and fifty thousand. And whatever the you know, And if that difference of losing two hundred fifty thousand in exemption may have added up to enough that she'd have had to pay taxes on the difference. And I learned that because I was you know on on the buying side, but also the.

00:39:45 Speaker 1

My brother, the executor, is an attorney and an accountant. And, so he dug through all the code to figure to find out what the deadline was. And, we realized we were getting really close to the deadline and hadn't sold our house yet. So, we did a seller finance to buy my mother's house, so it qualified as sold before my dad's anniversary of his death date. Otherwise, my mom could have been exposed to tax liabilities. And so sometimes heirs don't realize that they're They're taking months to decide what they want to do with the property, And they could actually be exposing themselves to tax liabilities on the other end based on the death date. Interesting. So, They always want to talk to their accountant about that as well about how is this going to affect us? Plus, They're going to want to use, have the accountant do as much as they can to reduce their basis as low as possible. To get as much, you know, income out of the house as possible that's protected. So.

00:40:43 Speaker 1

Ten thirty one exchange. It can be really good. But remember, our role is the realtor's role. We are there to look for the properties. We will look for details like things like craig's talked about. Yeah. But ultimately, when it comes to the numbers, talk to your accountant, when it comes to title, talk to your qualified intermediary. We're going to go look at the properties, and we're going to decide if this is the right property and then you talk to the accountant and the intermediary, make sure the math math passes, you know, the numbers work um and that we're getting.

00:41:13 Speaker 1

And, but we also need to be aware of those deadlines they have so that we're we're not leaving them in a lurch on the other end of well now I got to hurry and cram something that might not be best for me. And it's changed as the market has changed. You know um it's taking a little longer to sell properties now get a little more time to look at something. But, that also means that they're depending what they're selling might take longer commercial right now is taking is is really struggling in some markets to sell. They're trying to sell commercial property. There are markets nationwide where um buildings like this are being converted to apartments because there's a housing shortage, but they've got empty business commercial space. So investors are converting them to apartments. Does that count as like for like? Yes, it does. You could buy you could buy an empty apartment or empty commercial convert it It counts.

00:42:10 Speaker 1

I have had people ask you about, well, can I buy something like a houseboat? This came up in a class. They're like, "Are you going to use it as a rental?" Yeah. Is it real property? No. Trailer homes are kind of trailer. If you are going to try buy, if you buy a trailer park, great. If you buy a mobile home. It could be a problem in Utah because they're not real estate.

00:42:43 Speaker 3

If the land's not included, it can be problematic. The land's I would say on the houseboat, sometimes there are other tax codes you can use besides the 1031.

00:42:52 Speaker 1

That's when you start talking to your accountant about other ways to transfer assets.

00:42:56 Speaker 3

I struggle mightily. I know some people that write, "Oh, I wrote off my boat." Why? Because they can use it for business. So, boats are like between two hundred fifty to five hundred thousand bucks. Oh yeah. And so I just I, I personally feel that's fraudulent. That's fraudulent in my opinion. Now, are you going to be able to get it past the gatekeeper the IRS? Maybe because they don't audit everything. And that but that's where I feel like, I feel like it's dishonest my opinion on some of that stuff. But But the ten thirty one is honest.

00:43:39 Speaker 1

1031 Is an honest way to help, and it's also designed to help grow multi-generational wealth. Because if grandma and grandpa sold the family farm or bought property, and that property grew, they sold that, and that property grew, or and then started diversifying into other properties. Now, the next generation is able to continue to grow wealth without having to risk losing. You know, look at it going at some point, we're going to get. Eaten alive on the taxes, get all of our growth eaten up. So, all right.